**(QP Code 25901890)**

**MGU-UGP (Honours)/MGU-BBA (Honours)/MGU-BCA (Honours) Special Examinations, July 2026 (for 2024 Admission Regular Examinations, October 2025)**
**Third SEMESTER -Discipline Specific Core Course (DSC) - MG3DSCCOM200 - FINANCIAL ACCOUNTING - Answer Key**

**Part A- Any 12 questions- 1 mark each**

**1.** Treated as advertisement expense and deducted from Purchases in Trading account or shown on credit side of trading account and also shown as an expense on debit side of profit and loss account;
**2.** Wasting Assets (or Exhaustible Assets).
**3.** Account Form (T-form).
**4.** Comparability/ Uniformity and transparency (or consistency / reliability).
**5.** Conceptual
6. Turnover ratio / Net Sales ratio of each department. (Sales)
7. Unrealised profit = 5,000 x 20% = 1,000.
   **Journal Entry:**
   General Profit & Loss A/c Dr. 1000
   To Stock Reserve A/c 1000
**8.** Department
**9.** Dependent Branches.
**10.** Branch Adjustment Account (or Stock Reserve A/c).
**11.** Inter-branch transactions.
12. Opening balance of assets, goods sent to branch, cash sent for expenses, and net profit (if any). (Expenses)
13. Profit & Loss A/c Dr.
    To Short Workings A/c
14. Short Workings.

**Part B- Any 4 questions – 7 marks each**

15. Journal Entries

**1. For Further Bad Debts**

Bad Debts A/c Dr. ₹2,000
To Sundry Debtors A/c ₹2,000
Profit and Loss A/C Dr 5,000
To Provision for Bad debts 5,000

**Profit and Loss A/c**

| | | | |
|---|---|---|---|
| To Bad debts 3000<br>Add : further Bad debts<br>2000<br>5000<br>Add: New provision<br>60000x 5% 3000<br>8000<br>Less: old provision 3000 | **5000** | | |

(old provision can also be shown on credit side of profit and loss account)

16. **a) Fixed Assets -**Fixed assets are long-term assets acquired for use in business and not for resale.
**Examples:** Land, Building, Plant, Machinery, Furniture.
**(b)** Current Liability -Liabilities payable within one accounting year or operating cycle.
**Examples:** Sundry Creditors, Bills Payable, Outstanding Expenses,

**(c)** Contingent Assets - Possible assets arising from past events whose existence depends upon uncertain future events.

**Examples:** Claim under litigation, Insurance claim under dispute, Compensation claim awaiting court decision

### 17. Departmental Trading account

| | **Alpha** | **Beta** | | **Alpha** | **Beta** |
|---|---|---|---|---|---|
| To opening stock | 12000 | 9000 | By sales | 54000 | 45000 |
| Purchases | 36000 | 30000 | Goods transferred | 6000 | |
| Goods transferred | | 6000 | Services rendered | | 1500 |
| Services rendered | 1500 | | Closing stock | 18000 | 12000 |
| Carriage inwards (36:30)-Purchase RAtio | 3000 | 2500 | | | |
| Gross profit | **25500** | **11000** | | | |
| | **78000** | **58500** | | **78000** | **58500** |

### 18. Kottayam Branch account

| | | | |
|---|---|---|---|
| To Opening Stock | 10000 | By Bank (Cash Sales) | 80000 |
| Opening Petty Cash | 1000 | By Closing Stock | 8000 |
| Goods Sent to Branch 50000<br>Less returns 5000 | 45000 | By Closing Petty Cash | 1000 |
| Bank : Salary - 2000<br>Rent - 1500<br>Petty cash- 500 | 4000 | | |
| Outstanding Salary | 500 | | |
| To General Profit & Loss | **28500** | | |
| | **89000** | | **89000** |
| **Note- Returns can be shown in the credit side too** | | | |

### 19. List of Accounts under Stock and Debtors System Accounts Maintained under Stock and Debtors System

*The formats are indicative- The student can select any three accounts*

1. Branch Stock Account
2. Branch Debtors Account
3. Branch Adjustment Account
4. Branch Expenses Account
5. Branch Profit and Loss Account
6. Goods Sent to Branch Account
7. Branch Cash Account (where necessary)

**Branch Stock Account**

| | | | |
|---|---|---|---|
| Opening Stock | | Cash Sales | |
| Goods Sent to Branch | | Credit Sales | |
| Surplus | | Goods Returned to H.O. | |
| | | Shortage/Normal Loss | |
| | | Closing Stock | |

**Branch Debtors Account**

**Branch Adjustment Account**

| | | | |
|---|---|---|---|
| Opening Debtors | | Cash Received | |
| Credit Sales | | Discount Allowed | |
| | | Sales Return | |
| | | Bad Debts | |
| | | Closing Debtors | |

| | | | |
|---|---|---|---|
| Loading in Closing Stock | | Loading in Opening Stock | |
| Loading in Goods Returned | | Loading on Goods Sent | |
| Gross Profit transferred | | | |
| | | | |

**20. Royalty Analysis Table**

| Year | Production | Royalty | M/R | S/w | Surplus | S/w recouped | S/w not recouped | S/w c/d | Amount to Lessor |
|---|---|---|---|---|---|---|---|---|---|
| 1 | 28000 | 14000 | 24000 | 10000 | | | | 10000 | 24000 |
| 2 | 36000 | 18000 | 24000 | 6000 | | | | 16000 | 24000 |
| 3 | 60000 | 30000 | 24000 | | 6000 | 6000 | 4000 | 6000 | 24000 |
| 4 | 64000 | 32000 | 24000 | | 8000 | 6000 | | | 26000 |

**Part C- Any 2 – 15 marks each**

**21. Trading and Profit and Loss Account**

**The question has mistakes in figures and alignment. As such, a tallied Balance Sheet is not easy to prepare- Hence, consider the treatment of items and value liberally**

| | | | |
|---|---|---|---|
| To Opening Stock | 7500 | By Sales 43000<br>Less returns 300 | 42700 |
| To Purchases 1500<br>Less returns 500 | 1000 | By closing stock | 8000 |
| To Wages and salaries | 2500 | | |
| Gross profit | 39700 | | |
| | **50700** | | **50700** |
| | | By Gross profit | 39700 |
| To bad debts | 1000 | By Discount | 1200 |
| To rent | 1800 | By bad debt recovered | 300 |
| To Distribution expenses | 1200 | By interest | 600 |
| To bank charges | 50 | | |
| To repairs | 1200 | | |
| To depreciation | 10000 | | |
| To net profit | 26550 | | |
| | **41800** | | **41800** |

**Balance Sheet**

| **Liabilities** | | **Assets** | |
|---|---|---|---|
| Creditors | 7500 | Cash in hand | 800 |
| Bills payable | 2800 | Debtors | 13000 |
| Rent outstanding | 300 | Prepaid expense | 100 |
| Loan from bank | 2000 | Closing stock | 8000 |
| Capital 3800<br>+ net profit 26550<br>30350<br>- drawings 600<br>(400+200) | 29750 | Patent | 5000 |
| | | Furniture | 1800 |
| | | Buildings | 17200 |
| | | Motor vehicle | 7000 |
| | | Input GST Credit | 10000 |

**22. In the Books of Head Office (Chennai)- Delhi Branch Account**

| Particulars | Amount (₹) | Particulars | Amount (₹) |
|---|---|---|---|
| To Balance b/d: | | By Stock Reserve (Loading on Opening Stock) | 12500 |
| Stock (at I.P.) | 62500 | By Bank A/c (Remittance): | |
| Debtors | 60000 | Cash Sales | 80000 |
| To Goods Sent to Branch A/c (I.P.) | 200000 | Cash from Debtors | 147500 |
| To Bank A/c (Expenses): | | By Goods Sent to Branch A/c (Returns at I.P.) | 12000 |
| Sundry Expenses | 3550 | By Goods Sent to Branch A/c (Loading on net supply) | 40000 |
| Wages & Salaries | 56000 | By Balance c/d: | |
| Rent, Rates & Taxes | 16000 | Stock (at I.P.) | 75000 |
| To Goods Sent to Branch A/c (Loading on returns) | 2400 | Debtors | 112500 |
| To Stock Reserve (Loading on Closing Stock) | 15000 | | |
| By Outstanding Liabilities: Liability for petty expenses | 650 | | |
| To General Profit & Loss A/c (Net Profit) | **63400** | | |
| Total | **4,79,500** | Total | **4,79,500** |

Note- Loading on goods sent can be adjusted and shown in credit side only -

**Debtors A/c**

| Particulars | Amount | Particulars | Amount |
|---|---|---|---|
| To Balance b/d | 60000 | By Cash Received from Debtors | 147500 |
| To Credit Sales (Balancing figure) | 200000 | By Balance c/d | 112500 |
| Total | 260000 | Total | 260000 |

**23. Departmental Trading and Profit & Loss Account of Dev Shanker*(For the year ended 31st December 2024)***

| Particulars | Dept A | Dept B | Particulars | Dept A | Dept B |
|---|---|---|---|---|---|
| To Opening Stock | 50,000 | 40,000 | By Sales | 10,00,000 | 15,00000 |
| To Purchases | 6,50,000 | 9,10,000 | By Closing Stock | 1,00,000 | 2,00,000 |
| To Gross Profit c/d | 4,00,000 | 7,50,000 | | | |
| Total | 11,00,000 | 17,00,000 | Total | 11,00,000 | 17,00,000 |
| ***To General Expenses (sales ratio) 10:15*** | ***50,000*** | ***75,000*** | By Gross Profit b/d | 4,00,000 | 7,50,000 |
| To Net Profit c/d | 3,50,000 | 6,75,000 | | | |
| Total | 4,00,000 | 7,50,000 | Total | 4,00,000 | 7,50,000 |

**(General expenses can also be shown in general profit and loss account- Then GP and NP of the departments would be the same)**

**General P/L account**

| Particulars | Amount | Particulars | Amount |
|---|---|---|---|
| To Provision for Unrealized Profit on Closing Stock (10000+12000) | 22,000 | By Departmental Net Profit: | |
| To Combined Net Profit (Transferred to Capital) | **10,14,000** | Dept A | 3,50,000 |
| | | Dept B | 6,75,000 |
| | | By Opening Stock Reserve(5000+6000) | 11,000 |
| Total | 10,36,000 | Total | 10,36,000 |

**Working notes**

**Department A**

Gross profit ratio of B = $\frac{750000 \text{ x } 100}{15,00,000} = 50$

Unrealized Profit on Closing Stock:

Closing Stock of Dept A: Contains ₹20,000 transferred from Dept B.

20000 x 50% =10000

**Department B**

Gross profit ratio of A = $\frac{400000 \text{ x } 100}{10,00,000} = 40\%$

**Closing Stock of Dept B:** Contains ₹30,000 transferred from Dept A.

30000 x 40% = 12000

**Unrealized Profit on Opening Stock (Stock Reserve):**

**Opening Stock of Dept A:** Contains ₹10,000 transferred from Dept B.

Unrealised profit = 10000 x 50% = 5000

**Opening Stock of Dept B:** Contains ₹15,000 transferred from Dept A.

Unrealised profit = 15000 x 40% = 6000

***Marks- Calculation of ratios and stock reserve- 6 marks- Trading, P/L account- 6 marks – General P/L- 3 marks***